



The middle band is a Simple Moving Average with a 20-lookback period. This combination helps you to signal volatility. The Bollinger Band works as an overlay *indicator. i.e. it wraps around the price*. A common yet true belief is that the upper band acts like a resistance and the lower band acts like a support.



When the volatility hits the market, there is a probability that the price will break the upper or lower band and continue to move in the breakout's direction.

For John Bollinger, using only the Bollinger Bands was not enough, he later developed another indicator - *Bollinger Bands Width, an extension of Bollinger Bands*. This is an underlay indicator that helps traders validate the contraction and expansion of Bollinger Bands. When the Bollinger Bands squeezes, the Bollinger Bands Width stays flat and when the Bollinger Bands expands due to volatility, the Bollinger Bands Width starts to rise.